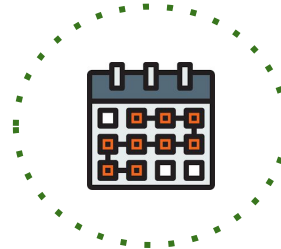




"It's all about the right plan"

CONSULTING FRAMEWORKS



Q. Suppose you go to a market where there are 4 pizza outlets, what factors will you consider before selecting one of them?



Q. Assume your client is the owner of a social ed-tech start-up who wishes to provide courses to underprivileged at subsidised rates, he wants you to do a feasibility check for a district in Uttar Pradesh ?



Type of Analysis

In any corporate strategy project, you are required to analyse the different **external and internal situations**

Area	External Situation (E)		Internal Situation (I)		Financials (F)
	E.1 Market Analysis	E.2 Competitive environment	I.1 Business Model Analysis	I.2 Risks and Growth Opportunities	
Type of Analysis	• Market Type • Industry size, growth • Market penetration • Value chain • Regulatory threats • Product substitution	• Competitive intensity and strategies • Competitor positioning • Cost/margin benchmarking • Price benchmarking • Market entry conditions	• Customer satisfaction level • Revenue volatility • Sales force productivity • Production and IT diagnosis • Cost curve	• Company business plan analysis • Revenue Projection and EBITDA • Company specific cost drivers • Vertical/horizontal integration option assessment • Geographical expansion	• Assessment and prioritization of potential exit options • Evaluation and risk assessment of available exit options

What are **CONSULTING** frameworks?

Frameworks are nothing but a **structure** to your proposed solutions. It gives a sense of direction to your case problem and helps you analyse the facts better.

Why to use?

- Help you to structure your answers
- Builds the skills of articulation

Why not to?

- Rigidity
- Complexity makes you forget

Where to use?

- Case Competitions
- Projects
- Case Interviews

INDEX

	Framework	Relevance	Goal
1	5-C Situation Analysis	E.1, E.2, I.1, I.2	Assessing overall situation affecting company
2	Entry/Exit Barriers	E.1	New entrants or business leaving the market
3	Competitive Landscape	E.2, I.1	Competitive positioning (Benchmarking)
	Balanced Scorecard	Tool	Measuring the performance of management
Additional Concepts		Other frameworks	
- Break Even Analysis - Fixed and Variables Costs - Net Profit Margin - ROI		- BCG Growth Matrix - Porter's 5 forces - Ansoff Matrix - McKinsey 7S Framework - Value chain - Value drivers - VRIO Analysis	

5C Situation Analysis

(Key factors needed for success)

- Distributors
- Suppliers
- Alliances
- Ex. McDonald's Franchise model



- What's our USP?
- Strengths and weakness
- Product offerings
- Brand Image
- Ex. FB portfolio diversification



- Who are we taking into account?
- What do we know about them?
- How do we connect to them?
- Personal engagements
- Need and their demand
- Ex. Starbucks Rewards



Corporation

Collaborators

Customers

Competitors

Context



- Economic environment
- Political and regulatory environment
- Social and cultural environment
- Ex. IKEA Sustainability aim by 2030

- Who are we up against?
- Core strengths
- Objectives & Values
- Price point
- Market Share
- Product differentiation
- Ex. Canon, Nike, Sony

Primary goal: Interest of the *customers* should be taken care of, not of the *shareholders*

5C Situation Analysis

This analysis gives a deep understanding about the external and internal factors of the market environment, customer and company abilities

Company

- Product/service offering
Pros and cons
Value Chain
- Profitability Analysis
Revenue (price x volume) and expenses
- Other company factors
Capacity
Core competencies
Regulatory environment
Distribution network
Management and core employees
Other

Competition

- Competitor mix/make-up
Market share
Fragmentation
Financial situation (for example, deep pocket competitors?)
Management
Other competencies (for example, marketing or distribution channels)
- Competitor products/service
Value proposition versus client
Value chain

Customer

- Customer mix
Demographics (age, gender, etc.)
Value of core customers
Wants and needs of customers
- Key drivers of customer decisions
Price
Product characteristics
Brand
Personnel (especially for B2B)
- Position with customer segments
Customer segment sizes
Customer segment share
Customer growth rate

5C Situation Analysis

Let us take an example

Customer

Company

Climate/Context



Competition

Collaborators

5C Situation Analysis

Let us take an example

Customer

Consumed by all segments
and demographics

Company

- One of the biggest beverage brands
- Portfolio of brands like Sprite, smart water, etc.
- Present in most of the world



Climate/Context

People prefer health options, coca cola produces diet and zero versions

Competition

Pepsi being the biggest with
local competition

Collaborators

Bottling, sourcing and
ingredients

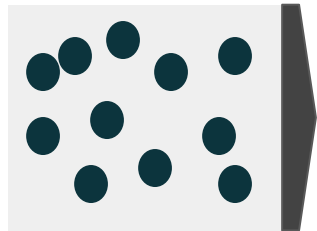
Enter/Exit Barriers

Helps to determine the strength of competition in an industry. It also tells about the likelihood of new entrants and businesses leaving the industry

The number of entrants into an industry is reduced if there are **high barriers**

Exit barriers keep companies in market despite **low negative returns**. There can be economic, strategic or emotional factors that keep companies compete even with negative ROI

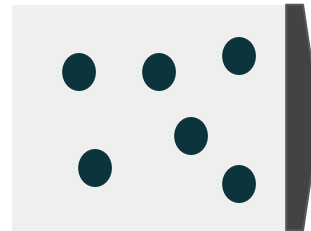
Potential entrants



Barriers to entry

- Economies of scale
- Product differentiation
- Capital requirements
- Switching costs
- Property rights
- Government Policy

Market



Exit Barriers

- Specialised assets
- Fixed costs of exit
- Strategic inter-relationships
- Emotional barriers
- Government/social restrictions

Enter/Exit Barriers

EXHIBIT

Figure 1. Industries that are easy to enter but difficult to exit

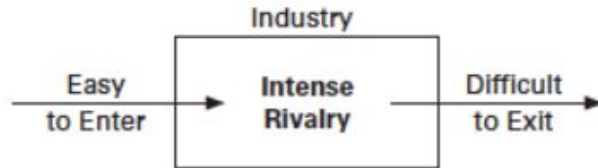


Figure 2. Industries that are difficult to enter and easy to exit



Figure 3. Industries that are easy to enter and easy to exit

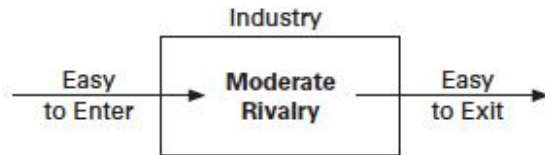


Figure 4. Industries that are difficult to enter and difficult to exit



Enter/Exit Barriers

Let us take an example (Entry Barriers)

Social Media

Clothing

Coffee shop

Newspapers

Enter/Exit Barriers

Let us take an example (Entry Barriers)

Social Media

- Difficult

Clothing

- Easy

Coffee shop

- Easy

Newspapers

- Difficult

Enter/Exit Barriers

Let us take an example (Entry Barriers)

Social Media

- Difficult

- If you have a niche group
- Hard to displace players like Facebook, Instagram
- Network with the most users

Clothing

- Easy

- Niche market
- Economies of scale is less
- Word of mouth and personal recommendations for marketing

Coffee shop

- Easy

- Lower entry costs
- Brand loyalty isn't everything
- May be fed up customers from big players like Starbucks, CCD

Newspapers

- Difficult

- Strong brand loyalty
- Industry is in decline
- Economies of scale
- Paying journalists and printers for a small national circulation

Competitive Landscaping

*Understanding your **competitors** is the best way to leverage the opportunities in the market*

- Identify **key competitors** - divide them into Primary (Direct), Secondary (Direct-Indirect), Tertiary (Indirect)
- Set the **parameters** to benchmark your product against their
- Analyse their **key potential** - Monitor trends, social media, marketing, offers
- Evaluate **pricing**
- Determine your position
- Take steps to solve

	Enter your company	Enter competitor	Enter competitor	Enter competitor	Enter competitor
Product/Service					
Profitability					
Financial Resources					
Market Share					
Growth					
Marketing Strategies					
Strengths					
Weaknesses					
Business Model					

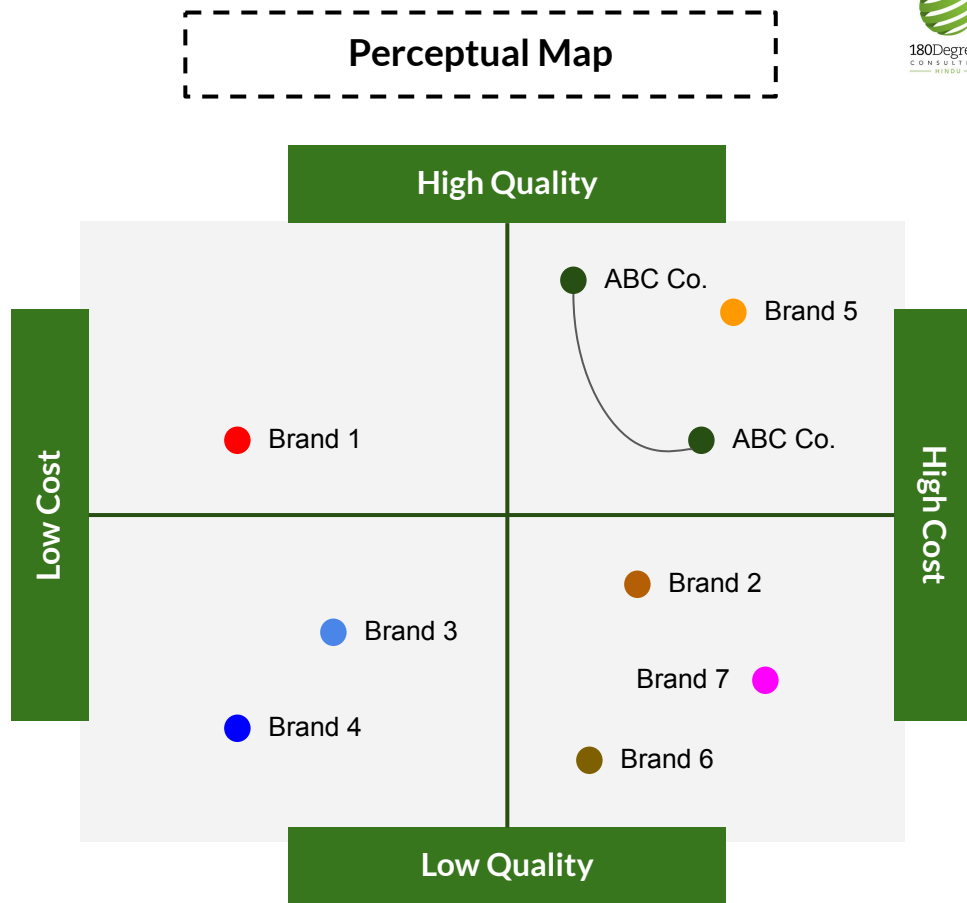
Tools to use

- Pi Datametrics (Analyse rising trends)
- SimilarWeb (Overview of Website Traffic)
- Kompyte (Record competitors to track)
- SEMRush

Competitive Landscaping

*Useful for understanding how the customers perceive your product offerings in relation to your competitors. It helps to identify the **gaps** to reach the targets.*

- Identify **key attributes** that relevant for your market and set them on the axis
- For a single brand, you may have **multiple perceptual maps** on varying axis
- Good way to represent is to put the logo of the brand next to the dots
- You can also show where you want your brand to move



Competitive Landscaping

Let's take an example and solve it right away

- Identify competitors and make a landscape
- Draw a perceptual map



Balanced Scorecard

*A Balanced Scorecard defines an organization's performance and measures whether management is **achieving desired results**. The Balanced Scorecard translates Mission and Vision Statements into a comprehensive set of objectives and performance measures that can be quantified and appraised.*

Measures

- Financial performance (revenues, earnings, return on capital, cash flow)
- Customer value performance (market share, customer satisfaction measures, customer loyalty)
- Internal business process performance (productivity rates, quality measures, timeliness)
- Innovation performance (percentage of revenue from new products, employee suggestions, rate of improvement index)
- Employee performance (morale, knowledge, turnover, use of best demonstrated practices)

How it works?

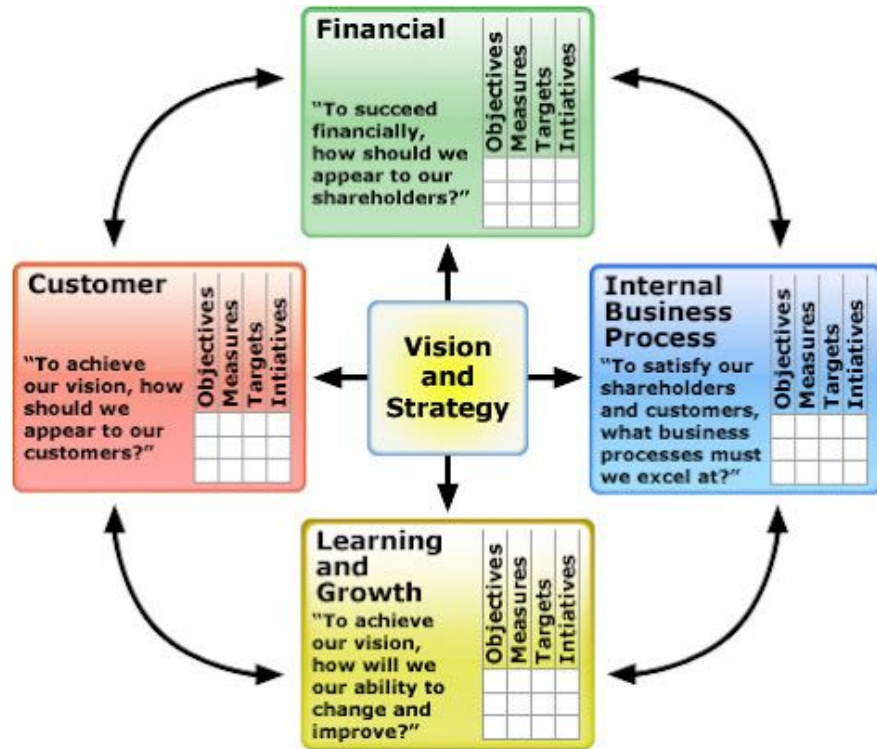
- Articulate the business's vision and strategy
- Identify the performance categories that best link the business's vision
- Establish objectives that support the business's vision and strategy
- Develop effective measures and meaningful standards
- Ensure company wide acceptances
- Create appropriate budgeting, tracking, communication
- Collect and analyze performance data
- Take action to close unfavorable gaps

Used to?

- Clarify a business's strategy
- Link strategic objectives to long-term targets and annual budgets
- Track the key elements
- Incorporate strategic objectives into resource allocation processes
- Facilitate organizational change
- Compare performance of geographically diverse business units
- Increase company wide understanding of the corporate vision and strategy

Balanced Scorecard

EXHIBIT



Balanced Scorecard

Time for an example

*Draw a balanced scorecard for
an E-Commerce Business*

	Objectives	Goals	Indicators	Initiatives
Financial Perspective	<i>To increase sales and reduce costs</i>	<i>15% increase in net sales and 10% decrease in operating costs</i>	<i>Financial statements</i>	<i>Negotiate with suppliers</i>
Customer Perspective	<i>To be a reference for a variety of products</i>	<i>Increase in launching new products every quarter by 15%</i>	<i>Number of new products launched per quarter</i>	<i>Create an innovation and development committee</i>
Internal Process Perspective	<i>To be able to develop new products constantly</i>	<i>Start at least five new product development projects every month</i>	<i>Project innovation reports</i>	<i>Acquire specific software for managing product development</i>
Learning and Growth Perspective	<i>To have extremely knowledgeable staff in product development</i>	<i>Have at least 2 professionals with masters degrees in product development</i>	<i>Number of product development professionals with masters degrees</i>	<i>Select an employee to receive masters training and hire another with a masters degree</i>

Additional Concepts

Break Even Point

- **Break-Even Point** is the number of units sold at which Revenue equals Total Expenses (Fixed Expenses plus Variable Expenses).
- Whether to develop a new product/ Make a capital equipment investment /Making decisions around how to price products and service /Number of units to produce.
- **Break-Even Number of Units** = $\text{Fixed expenses} \div (\text{Revenue per unit} - \text{Variable Expenses per unit})$.
- $\text{Revenue per unit} - \text{Variable Expenses per unit} = \text{Contribution margin per unit}$

Fixed and Variable Costs

- Fixed costs remains same no matter how much a company produces
- Variable costs vary with the amount of output produced
- VC may include labour, commission, raw materials
- FC may include rental payment, insurance, and interest payments
- For example, X company produce a bucket for Rs. 10 per piece, 500 units will have VC, Rs. 5000 while if it pays a fixed rent of Rs. 10,000, it will have to pay regardless of the production of the buckets

Net Profit Margin

- $\text{Net Profit Margin} = \text{Net Income} \div \text{Total Revenue}$
- $\text{Gross Profit Margin} = \text{Gross Profit} \div \text{Total Revenue}$
- Operating Profit Margin (EBIT Margin), or EBITDA Margin

ROI

- Return on Investment (ROI) is a ratio that determines the return, or Profit, from capital invested
- $\text{Profit from the Investment} (\text{Revenue minus Costs}) \div \text{Capital Invested}$

It's Play Time

Question 1

Q. Which is the framework used to study the environment in the 5C Analysis?

- ☐ SWOT
- ☐ PESTLE
- ☐ VRIO
- ☐ 4Ps
- ☐ BCG Matrix

Question 1

Q. Which is the framework used to study the environment in the 5C Analysis?

- ☐ SWOT
- ☒ PESTLE
- ☐ VRIO
- ☐ 4Ps
- ☐ BCG Matrix

A PESTLE analysis is a **framework to analyse the key factors (Political, Economic, Sociological, Technological, Legal and Environmental) influencing an organisation from the outside**. It offers people professionals insight into the external factors impacting their organisation

Question 2

Q. Parth is incharge of a project where he has to calculate the break even quantity for a company dealing in water bottles. He determines fixed cost to be Rs. 1,00,000. Variable cost with the product is Rs. 2 per unit and it is sold at a price of Rs. 12. What will be his final answer?

- ☐ 100
- ☐ 10,000
- ☐ 10
- ☐ -10,000
- ☐ 1,000

Question 2

Q. Parth is incharge of a project where he has to calculate the break even quantity for a company dealing in water bottles. He determines fixed cost to be Rs. 1,00,000. Variable cost with the product is Rs. 2 per unit and it is sold at a price of Rs. 12. What will be his final answer?

- ☐ 100
- ☒ 10,000
- ☐ 10
- ☐ -10,000
- ☐ 1,000

$$\text{Break even quantity} = 1,00,000 / (12-2) = 10,0000$$

Question 3

Q. Swiggy and Zomato are market leaders in food delivery in India but do their businesses intersect with each other?

- ☐ Yes, then why
- ☐ No

Question 3

Q. Swiggy and Zomato are market leaders in food delivery in India but do their businesses intersect with each other?



Yes, then why



No

Food delivery, cloud kitchen (Swiggy access, Zomato kitchens)

Question 4

Q. Aryan wishes to study the perception of consumers in the automobile industry. What sort of a map should he use to identify the competitors in the market?

□

Question 4

Q. Aryan wishes to study the perception of consumers in the automobile industry. What sort of a map should he use to identify the competitors in the market?

Perceptual Map



Knowledge Bank

Read and learn

- Barriers to entry - <https://www.investopedia.com/terms/b/barrierstoentry.asp>
- Perceptual mapping-
<https://blog.alexandria.com/perceptual-mapping/#:~:text=Perceptual%20mapping%20is%20a%20visual,also%20known%20as%20positional%20mapping.&text=Perceptual%20mapping%20utilizes%20customer%20input,service%20from%20the%20customer's%20perspective.>
- Competitive Analysis - <https://www.crayon.co/blog/competitive-landscape-analysis-free-report>
- 5C Situation Analysis - <https://corporatefinanceinstitute.com/resources/knowledge/strategy/5c-analysis-marketing/>
- Barriers to Exit -
<https://www.investopedia.com/terms/b/barriers-to-exit.asp#:~:text=Key%20Takeaways,-Barriers%20to%20exit%20are%20obstacles%20or%20impediments%20that%20prevent%20a,write%20Doffs%20and%20closure%20costs.>
- Break Even Point -
<https://www.investopedia.com/terms/b/breakevenpoint.asp#:~:text=The%20breakeven%20point%20is%20the%20level%20of%20production%20at%20which,same%20as%20its%20original%20cost.>
- Net Profit Margin - <https://corporatefinanceinstitute.com/resources/knowledge/finance/net-profit-margin-formula/>
- ROI -
[https://www.investopedia.com/terms/r/returnoninvestment.asp#:~:text=Return%20on%20investment%20\(ROI\)%20is,relative%20to%20the%20investment's%20cost](https://www.investopedia.com/terms/r/returnoninvestment.asp#:~:text=Return%20on%20investment%20(ROI)%20is,relative%20to%20the%20investment's%20cost)

Knowledge Bank

Watch and learn

- Competitive Analysis Framework- <https://www.youtube.com/watch?v=G2kpQGNxkRc>
- Competitive Analysis - <https://www.youtube.com/watch?v=C91utiNU0cl>
- 5C Situation Analysis - <https://www.youtube.com/watch?v=UIK1xmAMZWE>
- Barriers to Entry - <https://www.youtube.com/watch?v=Jx8fEumsbQo>
- Barriers to Exit - <https://www.youtube.com/watch?v=s713keGE6b4>
- Break Even Point - <https://www.youtube.com/watch?v=vUT8lZLZpKg>
- Net Profit Margin - <https://www.youtube.com/watch?v=esdCHrh40Sc>
- ROI - <https://www.youtube.com/watch?v=AvfXyuiBn2o>

Download and learn

- CVP Analysis - <https://corporatefinanceinstitute.com/resources/templates/excel-modeling/cvp-analysis-template/>
- 5 Situation Analysis -
<https://d2myx53yhj7u4b.cloudfront.net/sites/default/files/IC-Marketing-Processes-5C-Analysis-Template-PDF.pdf>
- Competitor analysis - <https://www.aha.io/roadmapping/guide/templates/competitor-analysis>

Thank you for your time!